

September and October. The retrace of this pattern, ending at point A, was 83%—more than he liked, so he ignored the potential trade. “Big retraces suggest an especially weak technical picture, and scallops with large retraces tend to underperform.”

When the second scallop formed during late October through early December, the retrace was a more palatable 64%.

He ran through the identification guidelines in [Table 58.1](#) and found the following: On the daily chart, the pattern was in a price uptrend, it looked like an inverted and backward J, the top looked rounded, and price did not drop below point A, the scallop's start. Meeting those guidelines qualified the pattern as an ascending and inverted scallop.

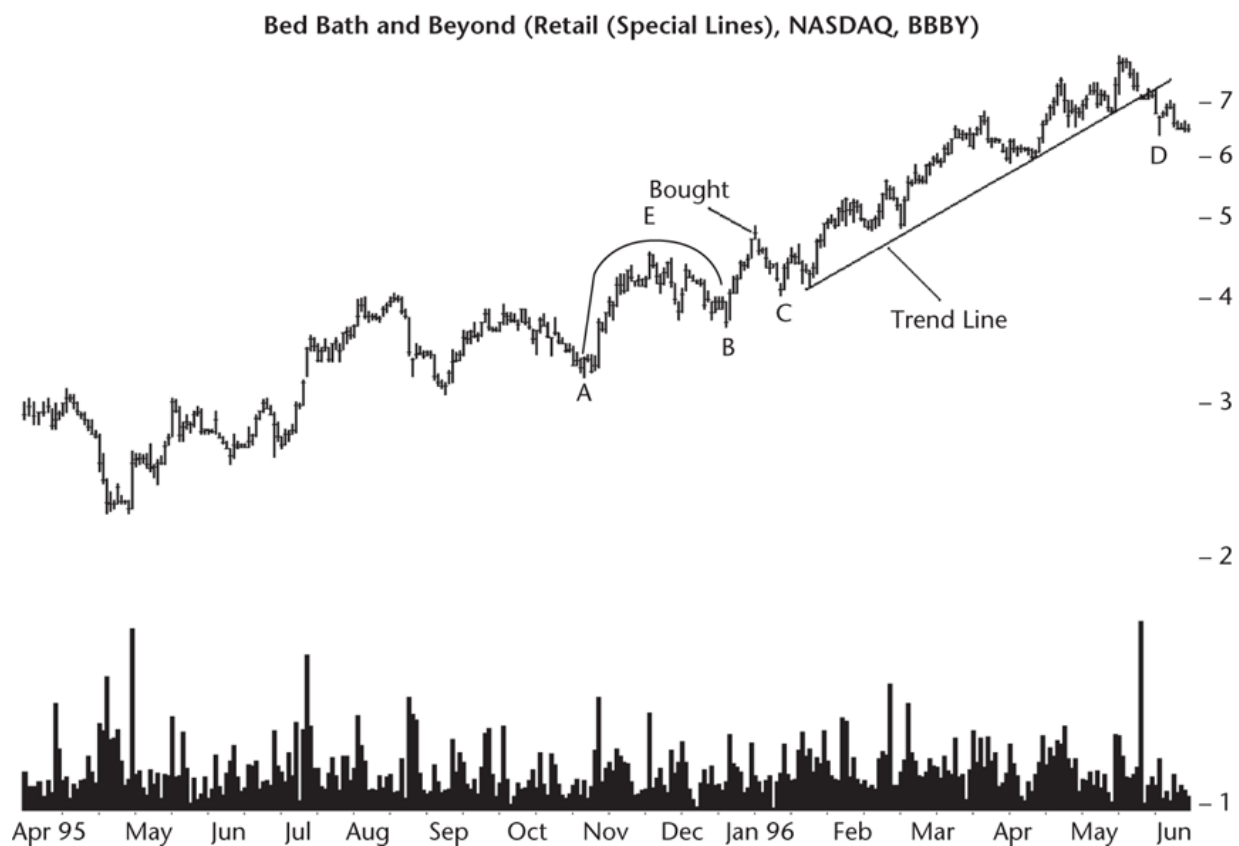


Figure 58.6 As described in the Sample Trade, Robert bought the day after the pattern confirmed and sold at point D after price pierced the trendline.

“The day after price closed above the scallop's high, I bought like a maniac. *Oops.*” Price tumbled. “But I'm an experienced trader, I know all about throwbacks, so I wasn't worried. Well, not too much.” Price threw back to